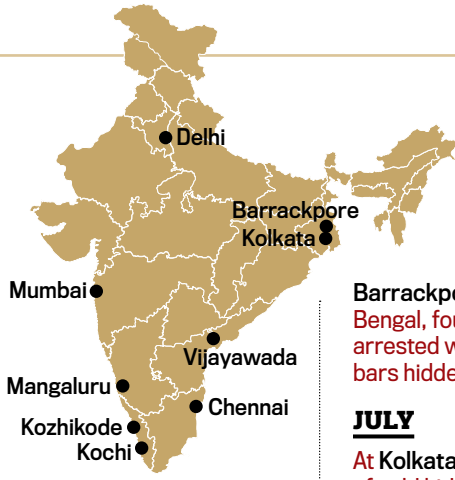


with five towels soaked in a solution which has gold dissolved in it

MAY 11

Gold weighing 61.5 kg is seized at the cargo complex of **Delhi** airport. The consignment concealed in triangle valves comes in a Japan Airlines flight originated from Guangzhou in China

SEPT.

The DRI seizes 121 kg of gold smuggled through Myanmar and Bangladesh borders while being transported in different states. In **Barrackpore**, West Bengal, four people are arrested with 11 kg of gold bars hidden in their car

JULY

At **Kolkata** airport, 2 kg of gold hidden as paste in the waist part of a passenger's jeans is recovered. In another case, 3.9 kg of the yellow metal in the form of coins, paste and chain is seized from two passengers returning from Bangkok

NOV. 2021

Two South Korean, one Chinese and one Taiwanese passengers are held at **Delhi** airport, and 41 kg of gold hidden in imported machinery parts are recovered from them. Their interrogation leads to seizure of 5.4 kg of foreign branded gold, smuggled in the same way, from a Delhi jeweller



WHY GOLD IS NOW SMUGGLED IN LARGE QUANTITIES

- The price of 24-karat gold almost doubled from Rs 28,067 per 10 grams in 2012–when curb-free imports ended–to Rs 59,000 in 2020, and is at Rs 54,000 now
- Import duty and taxes on gold in India are the highest despite its huge demand
- A kilo of gold smuggled instead of imported using white money saves a minimum of Rs 8 lakh
- Gold is the best currency for repayment of black money, to bring money stashed abroad using exaggerated invoices as also for money-laundering including for serious criminal offences
- Even after taking care of a free air ticket, hotel stay and risk money such as bribes or compensation for a jailed term and once in a while seizure, the net profit could be about 12 per cent
- The price difference between the international market and India is so wide that even a small quantity smuggled offers enough incentive
- Several couriers are lowly paid labourers or technicians. Many who lost jobs during Covid were lured into smuggling gold for minor benefits

origin gold biscuits weighing 65.46 kg valued at Rs 33.40 crore. These were being couriered from Aizawl to Mumbai hidden in gunny bags declared as clothes. In 2020-21, the largest chunk of smuggled gold—70 per cent of the seizures—was sourced from Myanmar; only 13 per cent came from the UAE. During the year, the DRI in 137 cases seized 833 kg of gold valued at Rs 411.48 crore in operations across the country, of which 208 kg worth Rs 102.6 crore was from the northeastern states smuggled via the Myanmar and Bangladesh borders. In 2021-22 too, Myanmar emerged as the major transit point for smugglers. India and Myanmar share a 1,643-km border along four Indian states—Manipur, Mizoram, Nagaland and Arunachal Pradesh. The current DRI report says the crackdown on insurgents could have forced them to switch from arms smuggling to gold, using their established networks.

THE QUESTION OF DUTY

So, why did the government, which had reduced import duty in 2021 to 7.5 per cent, double it this July? This was after India, in a historic first, bought more gold last year than the foreign direct investment or investment in its stock market by FPIs

SMUGGLING TRICKS



Gold is hidden inside the body, including rectum, under the wigs, behind masks, filled in cosmetic tubes, carried as parts of machines and tools, and modified into powder, paste, chicken eggs or wires. It is also plated with rhodium and shaped as handles of a trolley bag

DELIVERY PROCESS



Very often, carriers do not know about the receiver and hand over the gold only to the one who shares a code

FAVOURED ROUTES

Operating through porous borders such as the Northeast is a lot easier than secured airports

GIVING THE SLIP



Although the importer is responsible for a consignment, often dummy companies or fake names are engaged making identification difficult

ARRESTS OR NOT

Customs officials often stop at seizure and arrest if needed, and DRI, if involved, tries to take the case to the end user but evidence is often found to be weak for prosecution